

JAPAN MACHINERY: CONSTRUCTION

Preferences based on simple risk-reward amid an unclear cycle; stay Buy on Kubota

The construction machinery sector is currently in a phase of structurally poor visibility where entirely different cyclical phases co-exist depending on end demand, making it difficult to uniformly determine the direction of the sector as a whole. While macroeconomic tailwinds, such as the easing of US tariffs announced in June, are acting to support earnings, stock selection remains difficult, as companies showing clear visibility on their earnings direction are limited, primarily due to fluctuations in demand. In this report, we summarize the demand environment for each end market, and update our earnings estimates and views for the companies in our coverage.

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General construction: Upturn in inventory cycle a tailwind, underlying end demand the focus

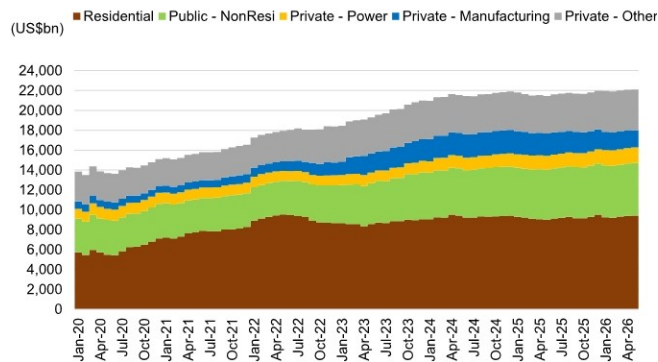
Looking at construction demand trends, particularly for the largest market of North America, firmness in certain sectors such as data centers is attracting attention. At the same time, US construction investment has been trending mostly flat from the end-FY2024 level, even before adjusting for inflation. While it remains at a historically high level, slight downside risks are beginning to be recognized, rather than a scenario of significant upside in construction investment from here, due to factors such as declining construction investment for the manufacturing sector.

We see the recent improvement in shipments and production as mainly due to an upturn in the inventory cycle, rather than a full-scale recovery in end demand. Inventory at the distributor and other dealer levels underwent adjustments from 2024 to 2025, and as a result of excess inventory being cleared to a fairly healthy level, we believe it is currently in an upcycle. Robust wholesale demand is likely to continue for the next few quarters until this inventory restocking is complete, but looking further ahead, structural demand expansion is unlikely unless end demand fully recovers. The near term is favorable, but we think the next focus will be the trend in end demand after this inventory cycle runs its course.

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Exhibit 1: US construction investment has been flat at a high level over the past 1-2 years

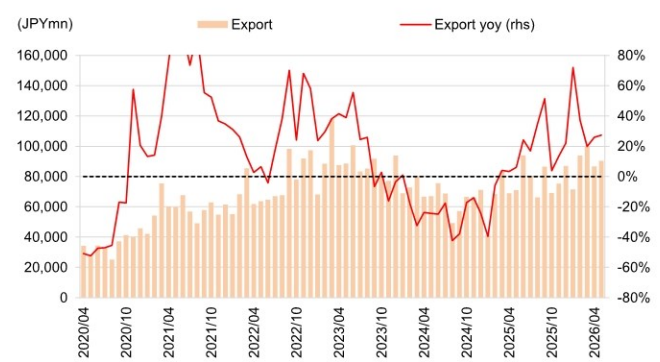
US construction investment



Source: Census Bureau

Exhibit 2: Hydraulic excavator export value is growing steadily at over 20% yoy

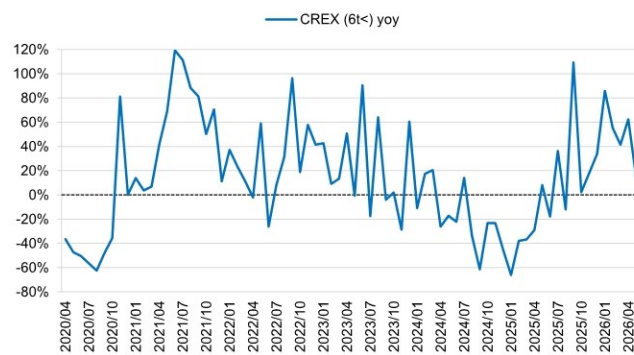
CEMA: Export value of hydraulic excavators



Source: Japan Construction Equipment Manufacturers Association

Exhibit 3: Hydraulic excavator export volume to North America is driving growth at over 40% yoy YTD

Shipment statistics: Hydraulic excavator shipment volume to North America (yoy)



Source: Ministry of Finance

Exhibit 4: Following inventory adjustments, the current situation is favorable with sales outpacing inventory

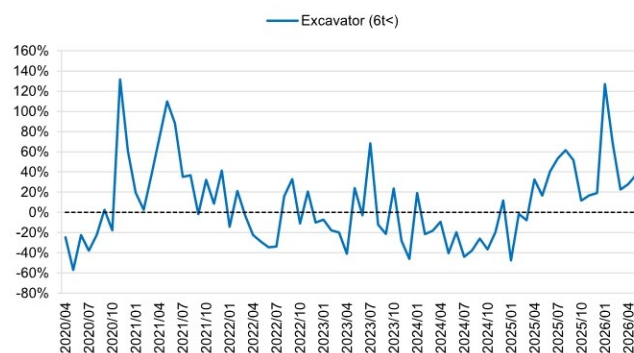
Caterpillar construction machinery sales and dealer inventory changes (cumulative change from end-FY22)



Source: Company data

Exhibit 5: Hydraulic excavator export volume to Europe has also grown by over 40% yoy YTD

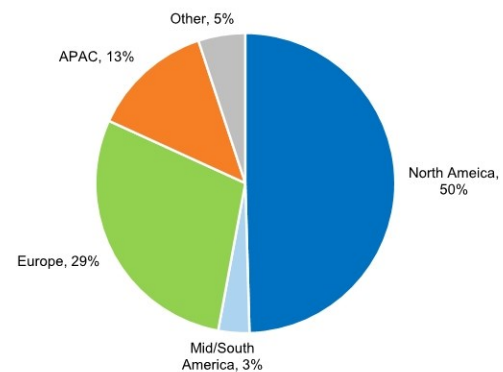
Shipment statistics: Hydraulic excavator shipment volume to Europe (yoy)



Source: Ministry of Finance

Exhibit 6: The current strength in North America and Europe could prove to be the peak

2025 hydraulic excavator export value by region



Source: Ministry of Finance

Compact construction machinery: Excess inventory of mini excavators a drag, reliance on loaders likely to strengthen further

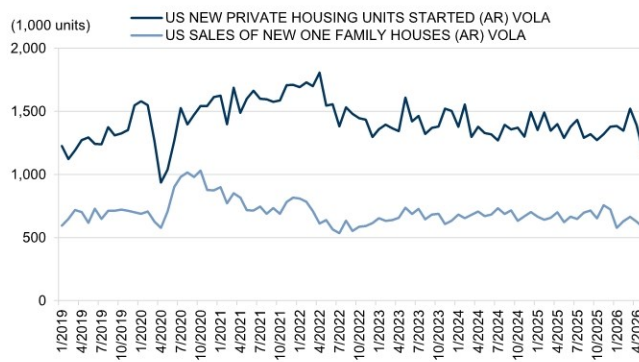
As recent US housing starts data show, housing-related construction demand is clearly slowing. With concerns over additional interest rate hikes in the second half also lingering, if this scenario materializes, further deterioration in the US housing market is possible.

This softening in housing-related demand will likely hit mini excavators particularly hard, as they have a high weighting toward housing usage. In this segment, inventory levels are excessive. We have repeatedly pointed out the need for inventory adjustments for some time, and we believe the likelihood of this has increased further in light of the recent deterioration in data. Although temporary strength was seen in early spring, the background to this was not necessarily clear. We believe that the inevitable downcycle has finally materialized.

On the other hand, loaders, which have a broad range of customers, continue to trend firmly. However, inventories have already reached a healthy level, making it difficult to replicate the strong demand expansion seen over the past few years. Considering this together with the challenging situation for mini excavators, the overall compact construction machinery segment is in a phase of strong downward pressure, in our view. With no full-scale recovery in end demand in sight, we believe a cautious stance is warranted for the time being.

Exhibit 7: US housing starts have continued to trend down since 2022

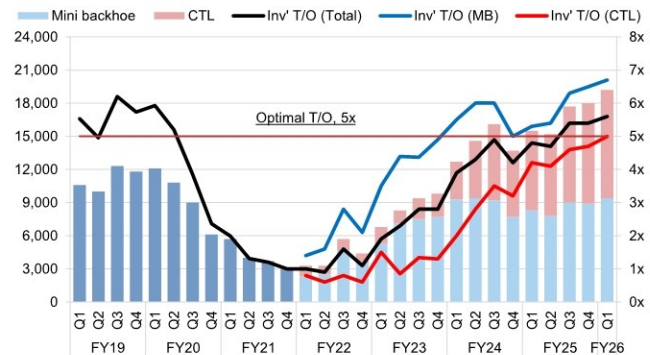
US housing starts



Source: Census Bureau

Exhibit 8: Compact truck loader (CTL) inventory levels are healthy, but mini excavators inventories look excessive

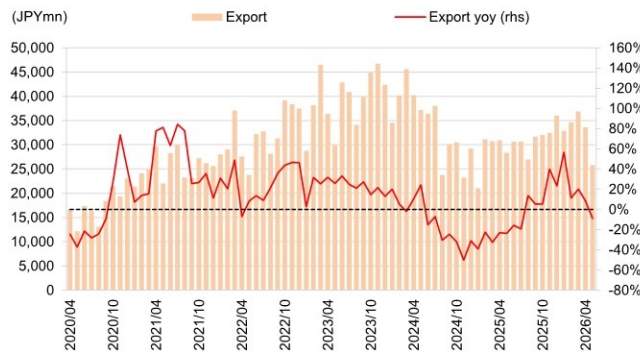
Kubota: Construction machinery inventory at North American dealers



Source: Company data

Exhibit 9: Mini excavator export value turned negative for the first time in 10 months in May

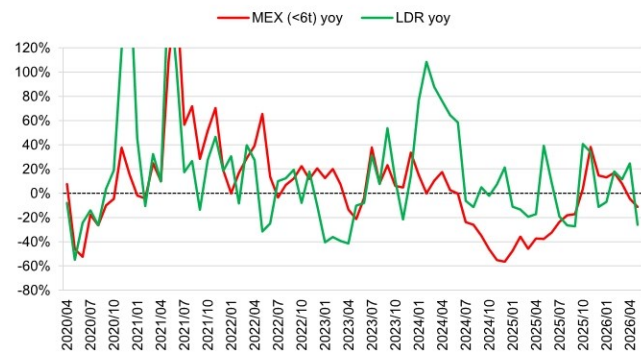
CEMA: Export value of mini excavators



Source: Japan Construction Equipment Manufacturers Association

Exhibit 10: In addition to the deterioration in mini excavators, a sharp drop in CTLs is also a concern

Shipment statistics: Shipment volume of mini excavators and loaders to North America (yoy)



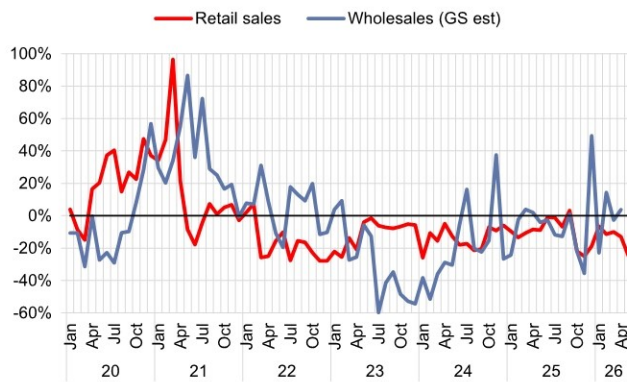
Source: Ministry of Finance

Tractors: Both compact and mid-sized retail demand in North America weaker than expected

The current demand environment is missing initial expectations, with recent retail sales for both compact and mid-sized tractors in North America trending below our initial assumptions. However, ample room remains for recovery from a wholesale perspective, given that a considerable degree of inventory adjustment took place through last year; a sense that demand is bottoming out is gradually building. From a medium- to long-term perspective, historically low tractor sales volumes provide important implications. This low level signifies an accumulation of replacement demand, and we thus see a high likelihood of a turn to positive growth in 2027.

On the other hand, risk factors also remain. In a scenario where interest rate hikes are implemented in 2H, farmers' purchasing appetite would be further suppressed, which could serve as a headwind. Moreover, if signs of improvement in retail demand cannot be confirmed in 2H, the 2027 recovery scenario might not eventuate. Based on these assumptions, while we forecast wholesale sales for FY12/26 on the assumption that recent retail demand continues, we factor in a gradual demand recovery of c.5% for compact and mid-sized tractors as our base scenario for 2027. Rather than a strong rebound, we assume a cautious but steady recovery on the back of inventory cycle normalization and the materialization of replacement demand.

Exhibit 11: May retail sales were -25% yoy
US AEM: Retail and wholesale volume of compact tractors



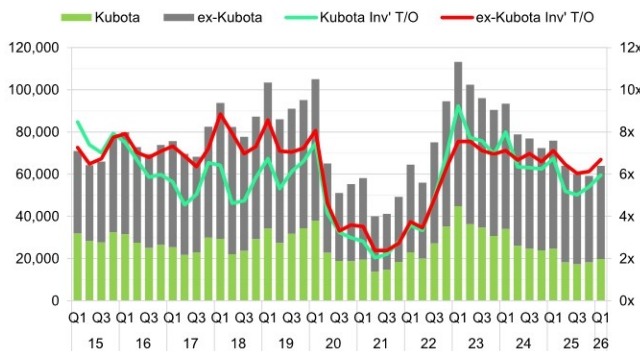
Source: Association of Equipment Manufacturers

Exhibit 12: Mid-sized tractors also saw the decline widen yoy in May
US AEM: Retail and wholesale volume of mid-sized tractors



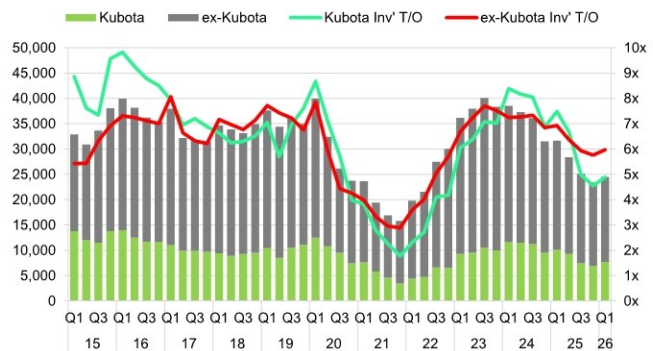
Source: Association of Equipment Manufacturers

Exhibit 13: Kubota's inventory level is healthier than the overall industry, but not a situation for optimism
Kubota/AEM: North American inventory of compact tractors



Source: Company data, Association of Equipment Manufacturers

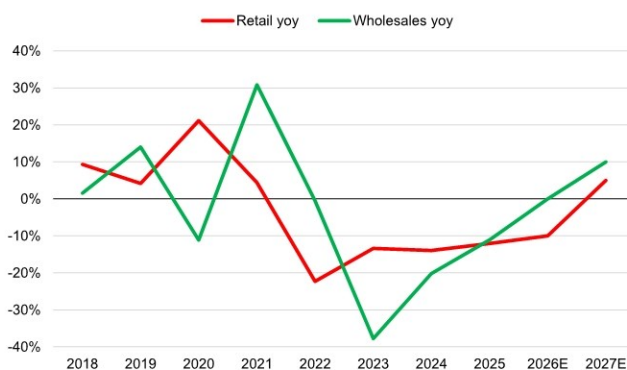
Exhibit 14: Kubota's mid-sized tractor inventory is well below industry levels
Kubota/AEM: North American inventory volume of mid-sized tractors



Source: Company data, Association of Equipment Manufacturers

Exhibit 15: Compact tractor retail volume likely to decline for the 5th consecutive year

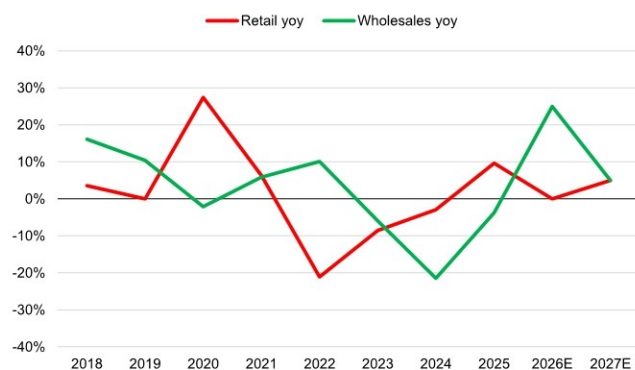
Kubota: Growth rate (yoy) of compact tractor sales volume in North America



Source: Company data

Exhibit 16: Focus on whether mid-sized tractors see a recovery in 2H

Kubota: Growth rate (yoy) of mid-sized tractor sales volume in North America

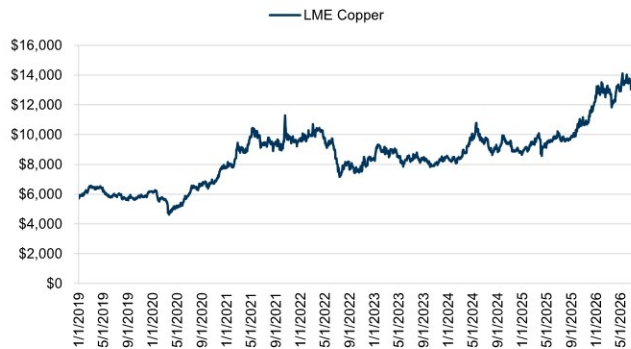


Source: Company data

Mining machinery: Watching policy changes in the coal market, but overall trend moderately positive

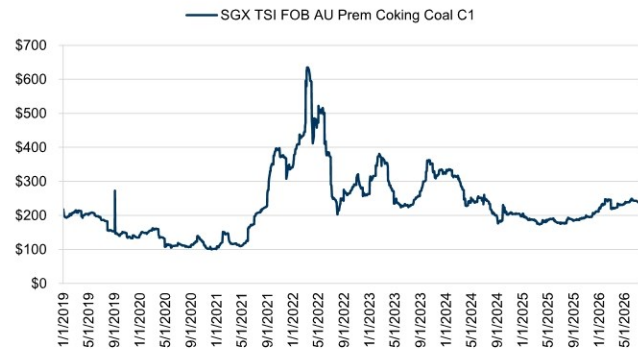
Looking at commodity price trends, copper prices are strong and coking coal is also trending firmly, while iron ore prices remain soft. Treating the capex of two major mineral resource companies as a proxy for the overall industry, while capex for copper and iron ore is expected to continue for the time being, we expect the overall trend to be flat at a high level to decline slightly.

Exhibit 17: Continuing a steady climb on the back of brisk AI/data center demand
Copper price trend



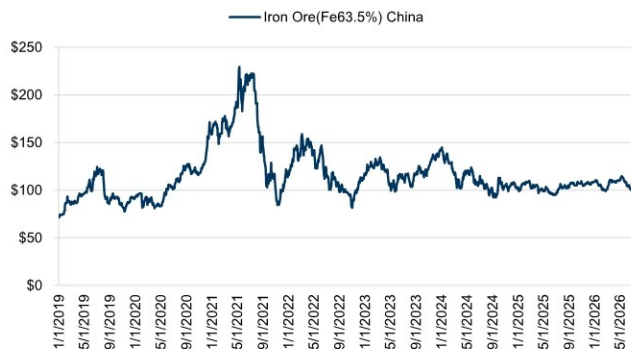
Source: LSEG Data & Analytics

Exhibit 18: Coking coal prices also remain at a high level within usual ranges
Coking coal price trend



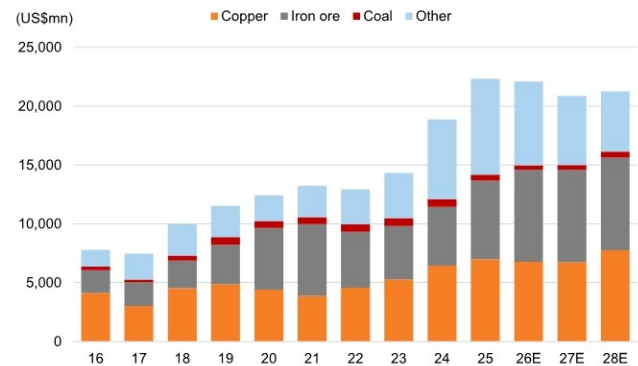
Source: LSEG Data & Analytics

Exhibit 19: Unfavorable trend compared to other minerals
Iron ore price trend



Source: LSEG Data & Analytics

Exhibit 20: Capex at the two major mineral resources companies assumed to have peaked in 2025 and set to gradually slow
Combined capex of BHP/Rio Tinto



Source: Company data, Goldman Sachs Global Investment Research

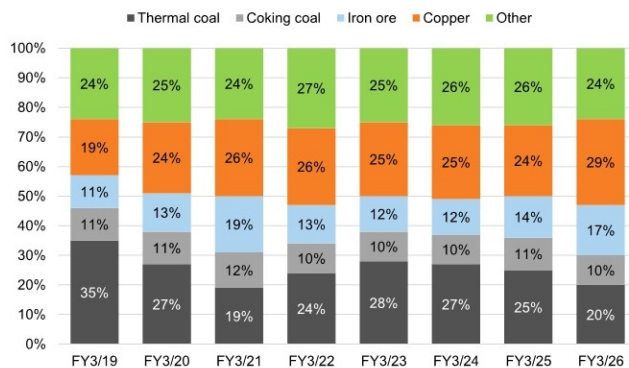
Demand trends in Asia, particularly Indonesia, are important for Komatsu. Phases when the company's earnings are strong generally coincide with favorable thermal coal prices. Given the widening spread between thermal coal prices and diesel prices for construction machinery in Indonesia, the natural interpretation is that demand is bottoming out. However, recent construction machinery shipments in Indonesia remain sluggish, and an actual recovery has not yet been confirmed.

In addition, caution is required as the policy environment in Indonesia is changing significantly, and this situation may continue for the time being. The main policy trends are as follows:

- Negative factor: The centralized management of coal exports by state-owned enterprise DSI announced on June 1 (full operation from January 1, 2027) brings uncertainty to the business operations of private mining companies.
- Positive factor: The Ministry of Energy and Mineral Resources (ESDM) clarified its policy to accept applications (application period: July 1 to 31) for revisions to production quotas in the 2026 RKAB (coal business plan and budget). This could lead to an expansion of production capacity.
- Positive factor: A review of the coal prices applied to domestic market obligations (DMO) is under consideration, and if realized, this could help improve the profitability of mining companies.

Viewed overall, if coal market conditions do not deteriorate further, we would expect a gradual positive direction as a whole. Given the underlying strength in copper, we view the most likely scenario for overall mining equipment demand to be flat at high levels to a slight increase. However, as Indonesian policy trends and the direction of thermal coal market prices will remain important variables, we will be closely watching trends heading in 2H.

Exhibit 21: The apparent rise in the weighting of copper and others is the flip side of weak thermal coal
Komatsu: Mineral mix of mining machinery sales



Source: Company data

Exhibit 22: The spread, which shrank due to the deterioration of the Middle East situation, is also heading toward normalization
Spread between 4,200 kcal thermal coal and diesel price for construction machinery

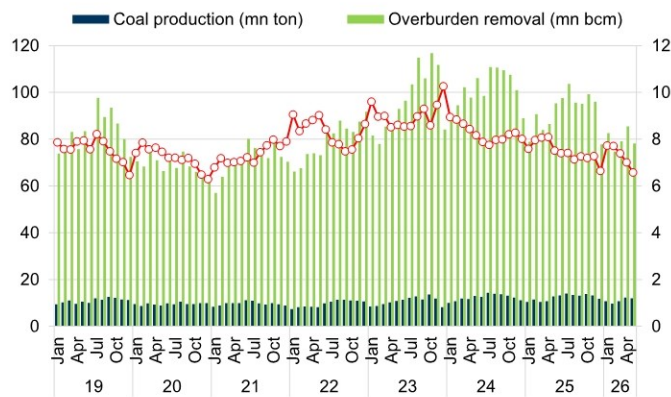


*Note that fuel costs generally account for 15-25% of operating costs, and this spread chart is merely illustrative

Source: Bloomberg

Exhibit 23: Excavation volume is on a steady decline after peaking in 2023

United Tractors: Pama's overburden removal volume and coal production volume



Source: Company data

Stock ideas

Kubota: Expecting steady profit growth to continue in FY12/27 as long as tractors do not deteriorate further (Buy, target price ¥3,300)

6326.T	12m Price Target: ¥3300	Price: ¥2724.5	Upside: 21.1%			
Buy	GS Forecast					
		12/25	12/26E	12/27E	12/28E	
	Market cap: ¥3.1tr / \$19.0bn	Revenue (¥ bn)	3,019.0	3,230.0	3,392.0	3,459.0
	Enterprise value: ¥5.2tr / \$32.1bn	Op. profit (¥ bn) New	265.5	340.0	405.0	430.0
	3m ADTV :¥11.7bn/ \$73.2mn	Op. profit (¥ bn) Old	265.5	318.0	337.0	352.0
	Japan	Op. profit CoE (¥ bn)	220.0	300.0	--	--
	Japan Multi-Industry	EPS (¥) New	163.4	217.2	258.2	282.9
		EPS (¥) Old	163.4	201.7	213.8	227.0
	M&A Rank: 3	P/E (X)	11.3	12.5	10.6	9.6
	Leases incl. in net debt & EV?: No	P/B (X)	0.8	1.1	1.0	1.0
	CROCI (%)	6.9	10.5	11.8	12.0	
		12/25	3/26E	6/26E	9/26E	
	EPS (¥)	39.3	64.5	61.4	42.3	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 09 Jul 2026 close.

Our view

In terms of earnings, yen depreciation and the reduction in US Section 232 tariffs announced in June are acting as tailwinds, so the external environment is generally heading in an improving direction. On the other hand, demand has been weaker than expected, with US tractor demand in 1H missing initial assumptions. Furthermore, tractor demand in Thailand, which was expected to rebound from last year's sluggish levels, is likely to post negative yoy growth as higher fuel prices dampen farmers' purchasing appetite.

In addition, the I/B/E/S consensus operating profit forecast remains conservative at ¥320 bn, and considering the divergence from our estimate, there is room for upward revision to consensus. Going forward, if potential catalysts such as an upward revision to full-year guidance or the announcement of additional share buybacks were to materialize, this could lift both earnings forecasts and the share price. Current valuations price in neither excessive optimism nor pessimism, and this could therefore be viewed a good opportunity to add to positions while waiting for catalysts, in our view.

upcycle over the past 10 years). We are Buy rated.

Key downside risks include yen strength (we estimate that every ¥1 move against the USD impacts operating profits by ¥3 bn, while a similar move versus the EUR/THB impacts profits by ¥0.8 bn/¥10 bn), weaker-than-expected North American tractor/construction machinery demand, and a deterioration in CoGS due to changes in US tariffs.

Investment Thesis - Kubota

We are Buy rated on Kubota. The company has a leading share of the key North American tractor market, particularly in compact and mid-sized tractors. It also has top market share in North America and Europe in compact construction machinery. While distributor inventory of North American tractors has normalized and there are finally signs of a bottoming-out in retail demand, the sharp growth seen in recent years in the North American construction machinery market, which has driven performance, has come to a halt. In this uncertain environment, Kubota has shifted its focus from market share to profitability and capital efficiency, and we think it is making steady progress in building a business model less susceptible to external factors. While the P/B has hovered above 1X for some time, we believe there are high expectations for a further re-rating if the company achieves improved cash returns through its own efforts, given its strong track record of shareholder returns such as share buybacks.

Komatsu: Potential bottoming out in coal mining, but expectations could be running ahead (Neutral, target price ¥6,300)

6301.T	12m Price Target: ¥6300	Price: ¥6395	Downside: 1.5%		
Neutral	GS Forecast				
		3/26	3/27E	3/28E	3/29E
Market cap: ¥5.8tr / \$35.5bn	Revenue (¥ bn)	4,132.8	4,374.2	4,583.8	4,744.3
Enterprise value: ¥7.0tr / \$43.4bn	Op. profit (¥ bn) New	567.3	564.0	588.0	612.0
3m ADTV :¥25.6bn/ \$160.3mn	Op. profit (¥ bn) Old	567.3	529.5	579.6	667.4
Japan	Op. profit CoE (¥ bn)	500.0	508.0	--	--
Japan Multi-Industry	EPS (¥) New	413.9	415.2	440.7	469.0
	EPS (¥) Old	413.9	390.4	437.5	521.7
M&A Rank: 3	P/E (X)	12.6	15.4	14.5	13.6
Leases incl. in net debt & EV?: Yes	P/B (X)	1.3	1.5	1.4	1.4
	CROCI (%)	13.0	12.6	12.3	12.1
		3/26	6/26E	9/26E	12/26E
	EPS (¥)	118.1	88.6	92.3	104.1

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 09 Jul 2026 close.

Our view

As mentioned earlier in this report, while general construction demand, primarily in the US is currently trending favorably, it is difficult to envision a scenario with further significant upside from here. While solid capex centered on copper-related projects should continue in the mining sector, we expect overall capex to gradually moderate, based on the outlooks of major mineral resources companies. Regarding thermal coal for Asia, which is currently facing the most severe conditions, we believe the current situation has largely reached its worst point, making further deterioration unlikely, and

we expect a gradual recovery going forward.

Taken together, excluding mining machinery in Asia, major fluctuations in end demand are unlikely, and we expect earnings for Komatsu to continue to gradually improve with FY3/27 as the bottom.

However, caution is required as such recovery expectations are already being factored into consensus estimates to a considerable degree. The I/B/E/S consensus operating profit forecast for FY3/27 is now ¥580 bn, above the initial forecast of ¥564 bn, and for FY3/28 the consensus is ¥625 bn compared with our estimate of ¥588 bn, giving the impression that both are based on relatively optimistic assumptions. If the positive effects from improvements in the regional and product mix materialize more than expected, they are by no means an impossible level, but for further upside, demand in an application would need to significantly exceed expectations.

With earnings forecasts at relatively optimistic levels, the valuation is also at a bullish level. Excluding abnormal values such as in FY3/16-FY3/17 and FY3/20-FY3/21 when earnings deteriorated substantially, Komatsu's average P/E range is c.10-15X. In contrast, the current P/E based on FY3/27E has already reached 15X, the upper end of the range, suggesting it is positioned at peak valuation. While we expect a bottoming out of Asian mining machinery, we believe it is necessary to approach the current level with a commensurate degree of caution in an environment where no major changes in overall demand can yet be expected.

Based on the above, we revise our estimates as follows. For FY3/27, we factor in upside in US construction demand, yen depreciation, and the full-scale reduction of tariff impacts, raising our operating profit estimate by 7%. On the other hand, we revise our estimates by +1% for FY3/28 and -8% for FY3/29, reflecting the peaking out of mining machinery demand and the intensification of price competition. We raise our target price based on our FY3/27 estimates to ¥6,300, from ¥6,200. However, given the limited divergence from the current share price, we maintain our Neutral rating.

Exhibit 25: Komatsu's usual P/E range is 10-15X, meaning it is already at the peak

Komatsu: 12-month forward P/E



Source: LSEG Data & Analytics

Price Target Risks and Methodology - Komatsu

Our 12-month target price of ¥6,300 is based on FY3/27E EBITDA, applying a sector EV/EBITDA multiple of 10X and a sector-relative discount of 25% (equivalent to the

average in the recent upcycle). We are Neutral rated.

Key upside/downside risks include stronger-/weaker-than-expected demand for new mining machinery or production utilization due to fluctuations in commodity market prices, fluctuations in the USD/JPY and other forex rates, and an increase in CoGS due to US tariffs.

Investment Thesis - Komatsu

We are Neutral rated. Komatsu is the second largest construction/mining machinery manufacturer globally after North America-based Caterpillar. In the mining machinery business, a key profit driver, we expect new vehicle demand and production utilization to remain generally firm worldwide in copper and gold, but demand in Asia, mainly for coal, is currently slowing rapidly. We do not expect a sharp deterioration in overall earnings, as demand for general construction machinery is improving, mainly in the US and Europe where inventory adjustments have run their course. However, with sluggish coal-related mining demand in Asia remaining a drag, the overall demand outlook is uncertain. Amid no obvious short-term positive catalysts or factors to raise growth expectations over the longer term, we are Neutral relative to coverage.

Disclosure Appendix

Reg AC

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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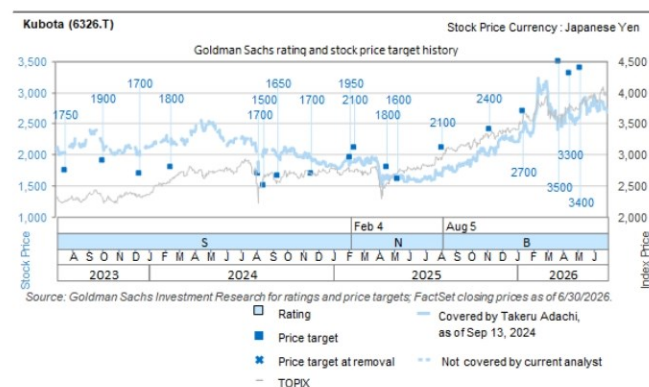
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

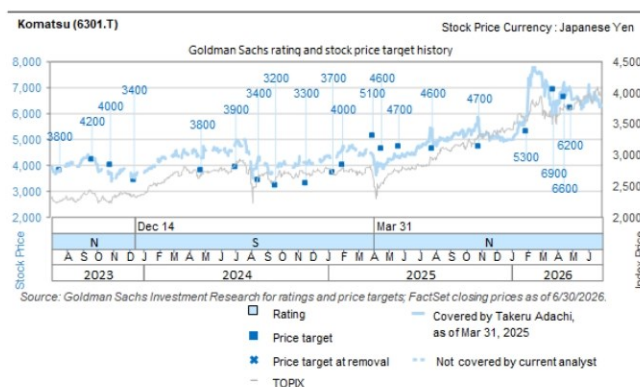
	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

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Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.



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Target price history table(s)

Komatsu (6301.T)

Date of report	Target price (¥)	Closing price (¥)
28-Apr-26	6,200	6,856
16-Apr-26	6,600	6,812
25-Mar-26	6,900	6,428
30-Jan-26	5,300	5,929
29-Oct-25	4,700	5,550
29-Jul-25	4,600	5,022
23-May-25	4,700	4,303
18-Apr-25	4,600	4,044
31-Mar-25	5,100	4,306
31-Jan-25	4,000	4,736
12-Jan-25	3,700	4,195
19-Nov-24	3,300	4,110
20-Sep-24	3,200	3,854
16-Aug-24	3,400	4,326
02-Jul-24	3,900	4,859
26-Apr-24	3,800	4,264
14-Dec-23	3,400	3,549
27-Oct-23	4,000	3,690
21-Sep-23	4,200	4,394
19-Jul-23	3,800	3,873

Kubota (6326.T)

Date of report	Target price (¥)	Closing price (¥)
08-May-26	3,400	2,814
16-Apr-26	3,300	2,608
25-Mar-26	3,500	2,535
14-Jan-26	2,700	2,381
07-Nov-25	2,400	2,068
05-Aug-25	2,100	1,655
09-May-25	1,600	1,598
18-Apr-25	1,800	1,666
13-Feb-25	2,100	1,927
04-Feb-25	1,950	1,862
19-Nov-24	1,700	1,958
13-Sep-24	1,650	1,970
16-Aug-24	1,500	2,083
07-Aug-24	1,700	1,905
14-Feb-24	1,800	2,131
14-Dec-23	1,700	2,005
02-Oct-23	1,900	2,182
19-Jul-23	1,750	2,042

Price targets shown in table(s) are unadjusted for corporate actions.

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